# ExxonMobil Corporation (XOM)

# Equity Research Report

Financial Statement Analysis Report – FY 2025–26

Analyst: FinVault
Industry: Integrated Oil & Gas
Exchange: NYSE | Ticker: XOM

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# Executive Summary

This report presents a financial and operational analysis of ExxonMobil Corporation based on its 2025 Form 10-K and supporting market information. The analysis evaluates the company's financial performance, balance sheet strength, operational efficiency, and key industry-specific metrics in order to assess its current financial position and investment attractiveness.

ExxonMobil experienced a moderate decline in financial performance during 2025 compared with 2024. Total revenue declined by approximately 5%, falling from $349.6 billion to $332.2 billion, primarily due to lower realized crude oil and natural gas prices. Net income attributable to ExxonMobil also declined by approximately 14.4%, reflecting the cyclical nature of the oil and gas industry and the company's sensitivity to commodity price fluctuations. Despite this decline, the company maintained strong operating cash flow of approximately $52 billion, demonstrating resilience in cash generation.

The balance sheet remains strong and stable. Total assets declined marginally by around 1%, largely driven by a reduction in current assets due to lower cash balances. However, non-current assets increased slightly, indicating continued capital investment in long-term infrastructure such as property, plant, and equipment. Total liabilities remained relatively stable, with a slight shift toward higher current liabilities and a reduction in non-current obligations, suggesting partial repayment of long-term debt.

Liquidity ratios indicate a modest decline in short-term liquidity, with the current ratio decreasing from 1.30 in 2024 to 1.15 in 2025. The quick ratio also declined, reflecting reduced cash holdings. However, the company continues to maintain adequate liquidity to meet short-term obligations. Solvency ratios remain strong, with a debt-to-asset ratio of approximately 0.41 and a very high interest coverage ratio, indicating low financial risk and strong debt servicing capacity.

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Operationally, ExxonMobil demonstrated strong production growth. Oil-equivalent production increased by approximately 9.3% in 2025, supported by expansion in key upstream assets such as the Permian Basin and offshore Guyana developments. The reserve life index of approximately 11 years indicates that the company maintains a sustainable reserve base relative to its production levels. Production costs per barrel also declined slightly, suggesting improved operational efficiency despite broader industry cost pressures.

The analysis also identifies several key risks affecting ExxonMobil's future performance. These include commodity price volatility, evolving environmental and climate regulations, geopolitical risks in key energy-producing regions, interest rate changes affecting capital investment decisions, and increasing competition from both traditional energy companies and alternative energy providers.

Overall, ExxonMobil remains a financially strong and operationally efficient integrated energy company with significant global scale and stable cash flow generation. However, the company's performance continues to be influenced by macroeconomic conditions and commodity price cycles.

# Company Overview

Exxon Mobil Corporation is the second largest publicly traded integrated energy company in the world. Its origins trace back to Standard Oil, founded in 1870, whose successor firms Exxon and Mobil merged in 1999 to form the present company. ExxonMobil operates across the oil and gas value chain through three main segments: upstream exploration and production, downstream refining and fuel distribution, and petrochemical manufacturing.

Its Upstream segment is responsible for the exploration, development, and production of crude oil and natural gas. The company holds production assets in several key regions including the United States, Canada, Guyana, Brazil, West Africa, and parts of the Middle East and Asia-Pacific. The upstream business generates a substantial portion of operating earnings because its profitability is closely tied to crude oil and natural gas prices. ExxonMobil has expanded its upstream portfolio in recent years through large discoveries offshore Guyana and continued development in the Permian Basin in the United States.

The company's Energy Products (Downstream) segment focuses on refining crude oil into petroleum products such as gasoline, diesel, jet fuel, and marine fuels. ExxonMobil operates an extensive global refining and distribution network with refineries located across North America, Europe, and Asia.

ExxonMobil also maintains a significant Chemical Products segment, which manufactures petrochemicals including olefins, aromatics, polyethylene, polypropylene, and specialty chemicals used in manufacturing, packaging, automotive production, and consumer goods. The chemical division benefits from integration with upstream and refining operations because feedstocks derived from petroleum refining can be used as inputs for petrochemical production.

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A more recent segment introduced is the Low Carbon Solutions segment to focus on technologies aimed at reducing emissions from industrial energy use. The company has prioritized investments in carbon capture and storage (CCS), hydrogen production, and lower-emission fuels.

As one of the industry's "supermajors," ExxonMobil competes with Chevron Corporation, Shell plc, BP plc, and TotalEnergies SE in a capital-intensive industry heavily influenced by global energy prices. As of early 2026, Exxon Mobil Corporation has a market capitalization of roughly $630–650 billion, making it one of the largest publicly traded companies globally. Its stock trades around $150 per share on the NYSE. ExxonMobil also holds a significant ~22% market share within the integrated oil and gas industry relative to listed competitors, reflecting its scale and production capacity.

The company's share price performance has generally tracked global oil prices and energy sector cycles, with strong gains during periods of elevated commodity prices and high cash flow generation The company's integrated structure allows it to participate in multiple stages of the energy supply chain, helping diversify revenue sources while maintaining significant exposure to fluctuations in global oil and natural gas markets.

# Financial Statement Overview

Revenue growth:

| Line item | 2025( in millions) | 2024( in millions) | Growth/Decline |
|---|---|---|---|
| Sales & other operating revenue | 323,905 | 339,247 | -4.5% |
| Income from equity affiliates | 5064 | 6194 | -18.2% |
| Other income | 3269 | 4144 | -21% |
| Total revenue & other income | 332,238 | 349,585 | -5% |

Analyst's Inference: Total revenue declined 5% in 2025 to $332.2 billion, mainly due to lower crude oil and natural gas prices despite higher production levels. Sales revenue fell 4.5%, while income from equity affiliates and other income declined significantly, indicating weaker profitability from joint ventures and non-operating sources .

Net income trends:

| Line item | 2025 ( in millions) | 2024 ( in millions) | Growth/Decline |
|---|---|---|---|
| Net Income attributable to non controlling interests | 920 | 1383 | -33.5% |
| Net income attributable to ExxonMobil | 28,844 | 33,680 | -14.4% |
| Net Income including non controlling interests | 29,764 | 35,063 | -15% |

Analyst's Inference: Net income declined in 2025, reflecting weaker profitability compared with 2024. Net income attributable to ExxonMobil fell 14.4%, while total net income including non-controlling interests decreased 15%. The sharper 33.5% drop in non-controlling interest income suggests lower earnings from joint ventures, consistent with softer commodity prices and reduced margins during the year.

Asset growth:

| Line item | 2025 ( in millions) | 2024 ( in millions) | Growth/Decline |
|---|---|---|---|
| Total current assets | 83,382 | 91,990 | -9.36% |
| Total Non current assets | 365,598 | 361,485 | 1.14% |
| Total assets | 448,980 | 453,475 | -0.99% |

Analyst's Inference: Total assets declined slightly by 0.99% in 2025, primarily due to a 9.36% reduction in current assets, reflecting lower cash balances. However, non-current assets increased by 1.14%, indicating

continued investment in long-term assets such as property, plant, and equipment, consistent with ExxonMobil's ongoing capital expenditure in upstream and energy infrastructure projects.

Debt levels:

| Line item | 2025 ( in millions) | 2024 ( in millions) | Growth/Decline |
|---|---|---|---|
| Total Current liabilities | 72,330 | 70,307 | 2.88% |
| Total Non current liabilities | 110,024 | 112,562 | -2.25% |
| Total liabilities | 182,354 | 182,869 | -0.28% |

Analyst Inference: Total liabilities remained largely stable in 2025, declining slightly by 0.28%. While current liabilities increased by 2.88%, indicating higher short-term obligations, non-current liabilities fell by 2.25%, suggesting partial repayment or reduction of long-term debt. This indicates a relatively stable leverage position with a slight shift toward short-term liabilities.

# Financial Ratio Analysis

| Liquidity Ratio | Industry average | 2025 | 2024 |
|---|---|---|---|
| Current | 1.07 | 1.15 | 1.3 |
| Acid test | 0.5- 0.9 | 0.76 | 0.95 |
| Operating cash flow | 0.6-0.8 | 0.72 | 0.78 |

Analyst inference: While the 53% reduction in cash and cash equivalents( restricted+ unrestricted) appears to be associated with several corporate activities, it is not unreasonable to assume that a portion of it could have been used to :

Repayment of long-term debt: Long-term debt declined by approximately $2.5 billion, indicating that a portion of the company's cash resources may have been used to reduce outstanding borrowings. Although post-retirement benefit obligations also decreased during the period, such obligations are typically funded through pension plan assets rather than the company's operating cash balances.

Purchase of fixed assets: Property, plant, and equipment increased by approximately $5 billion, indicating continued capital investment in long-lived operational assets. The largest portion of this increase occurred in the upstream segment (approximately $2.2 billion), while the energy products and other segments recorded increases of roughly $1.2 billion and $1.4 billion, respectively. Given that long-term debt declined by about $2 billion during the period, it is likely that these investments were financed primarily through operating cash flows and existing cash reserves rather than through additional borrowing.

Buyback of shares: ExxonMobil spent approximately $20.3 billion repurchasing common stock in 2025.The repurchases represent one of the largest uses of cash during the period and contributed to the decline in cash and cash equivalents.

This cash expenditure negatively affected both the current and acid test ratio. However, the current ratio stayed above industry average of 1.07 indicating a better short term liquidity position relative to other integrated oil&gas players and the acid test ratio stayed within the historic industry band of 0.5 - 0.9 communicating a controlled liquidity descent. The operating cash flow fell to 0.72 from 0.78

| Solvency Ratio | Industry average | 2025 | 2024 |
|---|---|---|---|
| Debt to Equity (Total liabilities/ Total Equity) | 0.50 - 0.61 | 0.68 | 0.67 |
| Interest bearing Debt to Equity( Notes and loans payable + Long term debt/ Total Equity) | - | 0.16 | 0.15 |
| Debt to Assets | 0.4 - 0.5 | 0.406 | 0.403 |
| Interest coverage | 26x | 69.4x | 50.1x |

Analyst inference: While the interest-bearing debt-to-equity ratio increased due to higher short term borrowings, it remains relatively low and is indicative of limited reliance on external borrowing. The debt to assets ratio also saw a marginal rise hinting at minimal increase in the proportion of assets financed through debt. The total liabilities-to-equity ratio highlights the company's broader obligations, including operating liabilities .

Although total debt increased slightly in 2025, the interest coverage ratio improved significantly, rising from 50.1× to 69.4×, largely due to reduced interest expenses. This ratio is substantially higher than the industry average, demonstrating a strong ability to meet interest obligations. Overall, ExxonMobil appears to be maintaining a conservative debt servicing capacity and minimal financial risk.

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| Activity Ratios | Industry average | 2025 | 2024 |
|---|---|---|---|
| Inventory turnover | 7-9x | 7.4x | 8.2x |
| Receivables turnover | 6-8x | 7.3x | 8.3x |
| Payables turnover | 3-4x | 3.0x | 3.34x |
| Total Asset turnover | 0.6-0.8 | 0.72 | 0.82 |

Analyst's inference: The activity ratios indicate a slight decline in operational efficiency between 2024 and 2025. The decrease in the inventory turnover ratio, suggests slower inventory movement.The drop in receivables turnover ratio also hints at marginally slower collection from customers.

Similarly, payables turnover also saw a drop , implying longer payment periods to suppliers. Total asset turnover also decreased from 0.75 to 0.72, reflecting reduced efficiency in generating revenue from the firm's asset base. While all ratios remain within the industry average ranges, there appears to be a drop in efficiency of ExxonMobil's activities relative to the year ending 31st December, 2024.

| Profitability Ratios | Industry average | 2025 | 2024 |
|---|---|---|---|
| Operating Margin | 10-12% | 12.6% | 14.3% |
| Net profit margin | 7-9% | 8.7% | 9.6% |
| Return on Assets | 6-8% | 6.4% | 8.1% |
| Return on Equity | 12-15% | 10.7% | 13.9% |

Analyst inference: The profitability ratios indicate a moderate decline in ExxonMobil's profitability between 2024 and 2025, despite relatively stable revenue levels. The decrease in both operating margin as well as net profit is reflective of lower operating earnings and declining net income during the period.

Consequently, the firm's reduced efficiency in generating profits from both the asset base and shareholder capital is suggested by the fall in ExxonMobil's Return on Assets and Return on Equity.

However, in a relative sense - most profitability ratios remain broadly aligned with industry averages for integrated oil companies, indicating that ExxonMobil continues to maintain competitive profitability relative to its peers despite cyclical fluctuations in energy market conditions.

## Cash Flow Statement Analysis

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| Type of cash flow | 2025 (in millions) | 2024 (in millions) | Key Inferences |
|---|---|---|---|
| CF from Operating activities | 51,970 | 55,022 | • $3.05 billion decline (5.5%) between 2024 and 2025<br>• Fall in net income by $5.3 billion<br>• Increase in Depreciation and depletion of $2.5 billion owed to expansion of capital assets.<br>• $2.8 billion increase in dividends received from equity affiliates not related to underlying operating performance.<br>• Increase in accounts receivable and inventory of $3 billion and $4.3 billion respectively<br>• Mild decrease in Accounts payable<br><br>Overall drop in operating cash flow is to be attributed to lower earnings and higher working capital requirements. |

| | | | |
|---|---|---|---|
| CF from Investing activities | (25,927) | (19,938) | • Cash used in investing activities increased by approximately $6.0 billion from 2024 to 2025<br>• Additions to property, plant and equipment rose to $28.4 billion in 2025, compared to $24.3 billion in 2024.<br>• Additional investments and advances amounted to $4.1B in 2025.<br>• Proceeds from asset sales fell from $5.0B to $3.2B, reducing offsetting inflows.<br>• No cash was generated from mergers and acquisitions in 2025, compared to $754 million that was generated in 2024.<br>The increase in investing cash outflows indicates greater capital investment in long-term assets, particularly in upstream |
| CF from Financing activities | (39,081) | (42,789) | • Financing cash outflows declined slightly by approximately $3.7B.<br>• Share repurchases remained the largest financing outflow- $20.3B in 2025 vs $19.6B in 2024<br>• Dividends to shareholders increased by 500 million from 2024.<br>• The company issued $2.3B of new long-term debt and repaid $1.1B. Short-term debt was reduced significantly. Financing activities reflect continued capital returns to shareholders while maintaining a conservative debt structure. |

# Industry specific analysis

| Metric | 2025 | 2024 | Inference & Reasons for Change |
|---|---|---|---|
| Reserve Life Index (years) | 11.2 | 10.9 | There appears to be an increase in proved reserves and stronger production growth from major upstream projects such as Guyana and the Permian Basin. Higher reserve additions relative to production improve the long-term sustainability of output. |
| Production Growth | 9.3% | 15.9% | Oil-equivalent production increased from 4,333 mboe/d in 2024 to 4,736 mboe/d in 2025, driven primarily by expansion in U.S. shale operations and continued ramp-up of Guyana |

| | | | |
|---|---|---|---|
| | | | offshore developments. |
| Cash Flow per Barrel ($/boe) | $30.1 | $34.8 | Decline largely reflects lower realized crude oil prices in 2025 compared with 2024, which reduced operating cash flow per unit despite higher production volumes |
| Production Cost per Barrel ($/boe) | $10.20 | $10.53 | Slight decrease indicates improved operational efficiency and scale benefits from higher production volumes, particularly from low-cost assets in the Permian Basin and Guyana. |

## Risks and Limitations

| Risks | Explanation |
|---|---|
| Commodity Price Volatility | ExxonMobil's financial performance is highly sensitive to fluctuations in global oil and natural gas prices, which directly affect upstream revenues and operating cash flows. Changes in supply–demand dynamics, OPEC production decisions, and global economic conditions can significantly influence commodity prices. Lower realized prices in 2025, for example, contributed to reduced cash flow per barrel despite higher production volumes. |
| Regulatory risks | The company operates in a highly regulated industry subject to evolving environmental, climate, and taxation policies across multiple jurisdictions. Regulations related to carbon emissions, environmental protection, drilling permits including carbon taxes, emission standards, efficiency mandates, and restrictions on oil and gas production may increase compliance costs, delay projects, or restrict hydrocarbon exploration and production activities. |
| Geopolitical risks | ExxonMobil's global operations expose it to political instability, sanctions, trade restrictions, and potential disruptions in energy-producing regions. Government actions such as changes in fiscal regimes, resource nationalism, or conflicts in key producing regions may affect production levels, investment returns, and access to reserves. |
| Interest rate changes | Changes in global interest rates can affect ExxonMobil's cost of capital and financing structure. Rising interest rates may increase borrowing costs for capital-intensive upstream projects and can also slow economic growth, indirectly reducing global energy demand. |
| Market competition | The company faces intense competition from international oil companies, state-owned energy firms, and increasingly from renewable energy providers. Technological advancements and energy transition policies may intensify competitive pressures and influence long-term demand for hydrocarbon-based energy products. |

# Valuation- Multiples

| Multiple | Sector Median/ Hist Avg | ExxonMobil | Inference |
|---|---|---|---|
| Trailing PE | 19.4x | 23.3x | Trading at a 20% premium to its 10-year historical average, suggesting the market is pricing in above-average earnings expectations or a quality premium relative to XOM's own history. |
| Leading PE | 13.5x | 22.9x | At 70% above the sector median, XOM commands a significant peer premium — reflecting its Dividend Aristocrat status and balance sheet strength, though it raises concerns about downside risk if 2026 earnings disappoint. |
| Price/ Free cash flow | 20.5x | 28x | A 38% premium to its 10-year median implies the market is paying well above normalised levels for each dollar of free cash flow generated; FCF yield of 3.5% sits below the historical 5–6% range, signalling potential overvaluation on a cash generation basis. |
| Dividend yield | 3.5% | 2.64% | Yield compression below the historical average is consistent with an elevated share price rather than reduced dividends — XOM has grown its dividend for 43 consecutive years — further supporting the view that the stock is priced at a premium to intrinsic value. |

The market assigns XOM a consistent quality premium, but every multiple signals the stock is trading at or above the upper bound of fair value on a normalised basis.

# Appendix

1. Liquidity Ratios

Current Ratio

Formula
Current Ratio = Current Assets ÷ Current Liabilities

Acid Test (Quick Ratio)

Formula
Quick Ratio = (Cash + Accounts Receivable) ÷ Current Liabilities

B. Solvency Ratios

1. Interest-Bearing Debt to Equity

Formula
Debt-to-Equity = Interest-Bearing Debt ÷ Total Equity

Interest-bearing debt = Notes & loans payable + Long-term debt

2. Total Liabilities to Equity

Formula
Total Liabilities ÷ Total Equity

3. Debt to Assets

Formula
Debt to Assets = Total Liabilities ÷ Total Assets

4. Interest Coverage Ratio

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Formula
EBIT ÷ Interest Expense

EBIT = Net Income + Interest Expense + Taxes

C. Efficiency Ratios

1. Inventory Turnover

Formula
COGS ÷ Average Inventory

COGS = Crude oil and product purchases

2. Receivables Turnover

Formula
Revenue ÷ Average Accounts Receivable

3. Total Asset Turnover

Formula
Revenue ÷ Average Total Assets

D. Profitability Ratios

Net Profit Margin

Formula
Net Income ÷ Revenue

Return on Assets (ROA)

Formula
Net Income ÷ Total Assets

Return on Equity (ROE)

Formula
Net Income ÷ Total Equity

E. Industry-Specific Upstream Metrics

Production Growth

Formula
(Current Production − Previous Production) ÷ Previous Production

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Reserve Life Index

Formula
Proved Reserves ÷ Annual Production

Cash Flow per Barrel

Formula
Operating Cash Flow ÷ Annual Production

Below is a continuation of your Appendix section, formatted consistently with the earlier appendix items (sections, formulas, tables, and assumptions).

Trailing Price-to-Earnings (P/E)

Formula

Trailing P/E = Current Share Price ÷ Trailing Twelve-Month EPS

TTM EPS Calculation

Trailing P/E Calculation

Forward Price-to-Earnings (P/E):

Formula

Forward P/E = Current Share Price ÷ Forecast EPS

Analyst Consensus Forecast

Forward P/E Calculation

Price-to-Free Cash Flow (P/FCF):

Formula

P/FCF = Share Price ÷ Free Cash Flow per Share

Free Cash Flow (FCF) = Operating Cash Flow – Capital Expenditure

FCF per Share

P/FCF Multiple

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Dividend Yield Calculation:

Formula

Dividend Yield = Annual Dividend per Share ÷ Share Price

## Key Assumptions

Production conversion:

Daily production converted to annual output using 365 days.

Interest-bearing debt definition:

Includes notes & loans payable + long-term debt.

Quick ratio:

Marketable securities excluded due to lack of explicit classification in the balance sheet.

Inventory:

Only crude oil, products, and merchandise inventories are considered.

Industry comparison benchmarks:

Based on averages for integrated oil & gas companies (Chevron, Shell, BP).

Financial figures:

Extracted from the ExxonMobil 2025 Form 10-K consolidated financial statements.

Share price reference:

Closing price of $156.12 (March 13, 2026).

Shares outstanding:

Diluted shares ≈ 4.17 billion.

Free cash flow calculation:

Derived from operating cash flow minus capital expenditure.

Forward EPS:

Based on Wall Street consensus estimates from multiple analyst forecasts.

Sector comparison benchmarks:

Multiples compared against historical and sector medians for integrated oil and gas companies.

Commodity price expectations:

Forward earnings estimates assume Brent crude prices in the $70–75 range, reflecting analyst projection

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